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Illustrative Service Auditor's SOC 2® Type 2

Report in Accordance with SSAE No. 21

Red-lined Version

Effective for reports dated on or after June 15, 2022.

Illustrative Service Auditor's SOC 2® Type 2 Report in Accordance with SSAE No. 21

This staff publication is nonauthoritative and is included for informational purposes only.

The following illustrative service auditor's report for a SOC 2 type 2 examination meets the reporting requirements of SSAE-21, which became effective for service auditor reports dated on or after June 15,2022. Changes similar to those reflected here may also need to be made to SOC 2 type 1 or other SOC reports. New language added is shown in red.

Illustrative Independent Service Auditor's SOC 2 Type 2 Report

Independent Service Auditor's Report [fn 1]

To: XYZ Service Organization

Scope

We have examined XYZ Service Organization's (XYZ's) accompanying description of its medical claims processing system titled "XYZ Service Organization's Description of its Medical Claims Processing System" throughout the period January 1, 20XX, to December 31, 20XX, [fn 2] (description) based on the criteria for a description of a service organization's system in DC section 200, *2018 Description Criteria for a Description of a Service Organization's System in a SOC 2® Report* (AICPA, *Description Criteria*), (description criteria) and the suitability of the design and operating effectiveness of controls stated in the description throughout the period January 1, 20XX, to December 31, 20XX, to provide reasonable assurance that XYZ's service commitments and system requirements were achieved based on the trust services criteria relevant to security, availability, processing integrity, confidentiality, and privacy (applicable trust services criteria) set forth in TSP section 100, *2017 Trust Services Criteria for Security, Availability, Processing Integrity, Confidentiality, and Privacy* (AICPA, *Trust Services Criteria*). [fn 3]

[fn 1] The report may also be titled "Report of Independent Service Auditors."

[fn 2] The title of the description of the service organization's system in the service auditor's report should be the same as the title used by service organization management in its description of the service organization's system.

[fn 3] A statement such as the following is added to the service auditor's report when information that is not covered by the report is included in the description of the service organization's system:

> The information included in section X, "Other Information Provided by XYZ Service Organization That Is Not Covered by the Service Auditor's Report," is presented by XYZ management to provide additional information and is not a part of XYZ's description. Information about XYZ's [*describe the nature of the information, for example, planned system changes*] has not been subjected to the procedures applied in the examination of the

Service Organization's Responsibilities

XYZ is responsible for its service commitments and system requirements and for designing, implementing, and operating effective controls within the system to provide reasonable assurance that XYZ's service commitments and system requirements were achieved. XYZ has provided the accompanying assertion titled "Assertion of XYZ Service Organization Management" (assertion) about the description and the suitability of design and operating effectiveness of controls stated therein. XYZ is also responsible for preparing the description and assertion, including the completeness, accuracy, and method of presentation of the description and assertion; providing the services covered by the description; selecting the applicable trust services criteria and stating the related controls in the description; and identifying the risks that threaten the achievement of the service organization's service commitments and system requirements.

Service Auditor's Responsibilities

Our responsibility is to express an opinion on the description and on the suitability of design and operating effectiveness of controls stated in the description based on our examination. Our examination was conducted in accordance with attestation standards established by the AICPA~~American Institute of Certified Public Accountants~~. Those standards require that we plan and perform our examination to obtain reasonable assurance about whether, in all material respects, the description is presented in accordance with the description criteria and the controls stated therein were suitably designed and operated effectively to provide reasonable assurance that the service organization's service commitments and system requirements were achieved based on the applicable trust services criteria. We believe that the evidence we obtained is sufficient and appropriate to provide a reasonable basis for our opinion.

We are required to be independent and to meet our other ethical responsibilities in accordance with relevant ethical requirements relating to the engagement.

An examination of the description of a service organization's system and the suitability of the design and operating effectiveness of controls involves the following:

- Obtaining an understanding of the system and the service organization's service commitments and system requirements
- Assessing the risks that the description is not presented in accordance with the description criteria and that controls were not suitably designed or did not operate effectively

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description and of the suitability of the design and operating effectiveness of controls to achieve XYZ's service commitments and system requirements based on the applicable trust services criteria, and accordingly, we express no opinion on it.

- Performing procedures to obtain evidence about whether the description is presented in accordance with the description criteria

- Performing procedures to obtain evidence about whether controls stated in the description were suitably designed to provide reasonable assurance that the service organization achieved its service commitments and system requirements based on the applicable trust services criteria

- Testing the operating effectiveness of controls stated in the description to provide reasonable assurance that the service organization achieved its service commitments and system requirements based on the applicable trust services criteria

- Evaluating the overall presentation of the description

Our examination also included performing such other procedures as we considered necessary in the circumstances.

Inherent Limitations

The description is prepared to meet the common needs of a broad range of report users and may not, therefore, include every aspect of the system that individual users may consider important to meet their informational needs.

There are inherent limitations in the effectiveness of any system of internal control, including the possibility of human error and the circumvention of controls.

Because of their nature, controls may not always operate effectively to provide reasonable assurance that the service organization's service commitments and system requirements are achieved based on the applicable trust services criteria. Also, the projection to the future of any conclusions about the suitability of the design and operating effectiveness of controls is subject to the risk that controls may become inadequate because of changes in conditions or that the degree of compliance with the policies or procedures may deteriorate.

Description of Tests of Controls

The specific controls we tested and the nature, timing, and results of those tests are listed in section XX.

Opinion

In our opinion, in all material respects,

a. the description presents XYZ's medical claims processing system that was designed and implemented throughout the period January 1, 20XX, to December 31, 20XX, in accordance with the description criteria.

b. the controls stated in the description were suitably designed throughout the period January 1, 20XX, to December 31, 20XX, to provide reasonable assurance that XYZ's service commitments and system requirements would be achieved based on the applicable trust services criteria, if its controls operated effectively throughout that period.

c. the controls stated in the description operated effectively throughout the period January 1, 20XX, to December 31, 20XX, to provide reasonable assurance that XYZ's service commitments and system requirements were achieved based on the applicable trust services criteria.

Restricted Use

This report, including the description of tests of controls and results thereof in section XX, is intended solely for the information and use of XYZ, user entities of XYZ's medical claims processing system during some or all of the period January 1, 20XX, to December 31, 20XX, business partners of XYZ subject to risks arising from interactions with the medical claims processing system, practitioners providing services to such user entities and business partners, prospective user entities and business partners, and regulators who have sufficient knowledge and understanding of the following:

- The nature of the service provided by the service organization
- How the service organization's system interacts with user entities, business partners, subservice organizations, and other parties
- Internal control and its limitations
- User entity responsibilities and how they may affect the user entity's ability to effectively use the service organization's services
- The applicable trust services criteria
- The risks that may threaten the achievement of the service organization's service commitments and system requirements and how controls address those risks

This report is not intended to be, and should not be, used by anyone other than these specified parties.

[*Service auditor's signature*]
[~~Service auditor's c~~*City and state where the report is issued*]
[*Date of the service auditor's report*]



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